separate makes the difference while choosing to organize a business as an unincorporated entity or an incorporated one.

Incorporated businesses, mainly companies, are organizations where the liability of each owner is limited to the capital contributed by such a person in the business venture. Unincorporated businesses, in whatever form whether proprietorships or partnerships (except the limited liability partnerships or LLPs, which are closer to companies in terms of liability of the owner-partners), are organizations where the liability of each business owner is unlimited and thereby extends beyond the capital contributed by such businessmen in the venture to their personal property as well.

There are over 17 lakh registered companies in India. And the balance 800 lakh-odd businesses are unincorporated businesses, mostly MSMEs.

MSMEs Lack Identity

India uniquely identifies each of its over 130 crore resident individuals. All these individuals are assigned a unique ID number. The country also identifies all its incorporated entities uniquely. Each one of about 17 lakh companies has a unique name and ID. However, India does not uniquely identify and recognize each of its unincorporated businesses entities, which happen to be the MSME universe. MSMEs do not have a unique business identity number.

MSMEs have a ministry to look after their interests, like companies have the Ministry of Corporate Affairs (MCA). The MCA has a well-developed system through the Registrar of Companies to not only register companies but to seek out all necessary details of their business operations. There is no authority under the MSME Ministry to recognize and maintain a register of MSMEs, which mostly happen to be unincorporated enterprises.

The system of registering unincorporated entities in India is fragmented in parts and non-existent generally. Some forms of unincorporated business